



Cloud Continuity & CSP Transition Strategy

Inspironics Corporation

Preserving Azure, Microsoft 365 & Operational Continuity During CSP Transition —
Zero-Downtime Rollover for Exit Readiness, Governance & Operational Resilience

CONFIDENTIAL – BOARD & OPERATIONAL USE

Why This Transition Matters

Inspironics is executing a controlled, zero-downtime CSP transition strategy designed to preserve every layer of its Microsoft and Azure operational environment — while simultaneously improving governance, cybersecurity posture, and exit readiness.

Operational Continuity

Maintain Azure VM uptime and Microsoft 365 tenant integrity with no service disruption.

Zero Downtime

Transition billing and administrative relationships without touching the operational environment.

Governance Independence

Eliminate MSP dependency risk and establish full direct administrative control.

Exit Readiness

Prepare infrastructure for investor, broker, and strategic buyer due diligence scrutiny.

Security Maturity

Harden cybersecurity posture with MFA, conditional access, and Defender policies.

Cost Optimization

Rationalize licensing and Azure spend to deliver measurable commercial efficiency.

Existing Microsoft & Azure Footprint

Inspironics currently operates a hybrid cloud environment spanning dedicated Azure virtual machines, secure VPN infrastructure, and the full Microsoft 365 productivity suite — all provisioned under the existing CSP relationship.

Azure Infrastructure

- **azik-cus1** — Primary compute node, Central US
- **azik-cus2** — Secondary compute node, Central US
- **aziksrvr-1** — Application server, production
- **aziksrvr-2** — Application server, secondary
- **azvpnsrvr-1** — Critical VPN gateway infrastructure

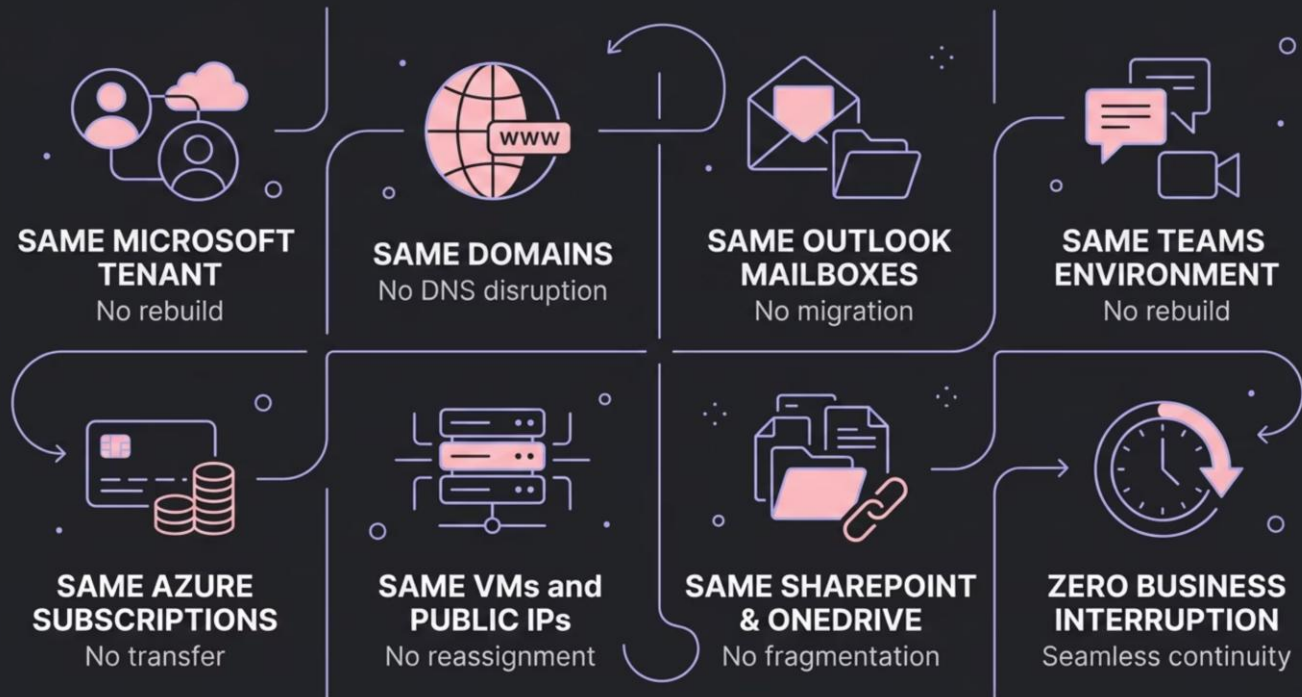
Microsoft 365 Services

- **Outlook / Exchange Online** — Corporate email and calendaring
- **Microsoft Teams** — Collaboration, video, and voice
- **SharePoint Online** — Document management and intranets
- **OneDrive for Business** — Personal cloud file storage
- **Entra ID** — Identity and access management
- **Microsoft Defender** — Endpoint and cloud security

Desired End State

"Only the commercial and administrative relationship changes — not the operational environment."

The target state preserves every operational element in place. No mailbox migration. No tenant rebuild. No business interruption. The transition is purely a governance and billing layer change — invisible to end users and invisible to dependent business processes.



Preserve Tenant Integrity

⊗ **CRITICAL DIRECTIVE: DO NOT CREATE A NEW MICROSOFT 365 TENANT** — Creating a new tenant triggers cascading disruption across every Microsoft service layer. This is the single most consequential mistake in any CSP transition.

✗ Wrong Path — New Tenant Migration

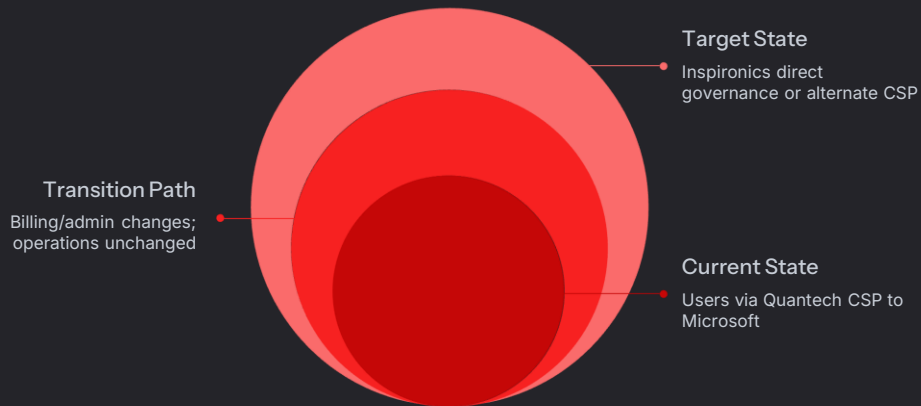
- Full mailbox migration required — data loss risk
- Teams channels and recordings lost or fragmented
- SharePoint sites must be rebuilt from scratch
- Entra ID identities recreated — user disruption
- DNS instability during domain re-verification
- Weeks of downtime, productivity loss, and cost

✓ Correct Path — Controlled CSP Transition

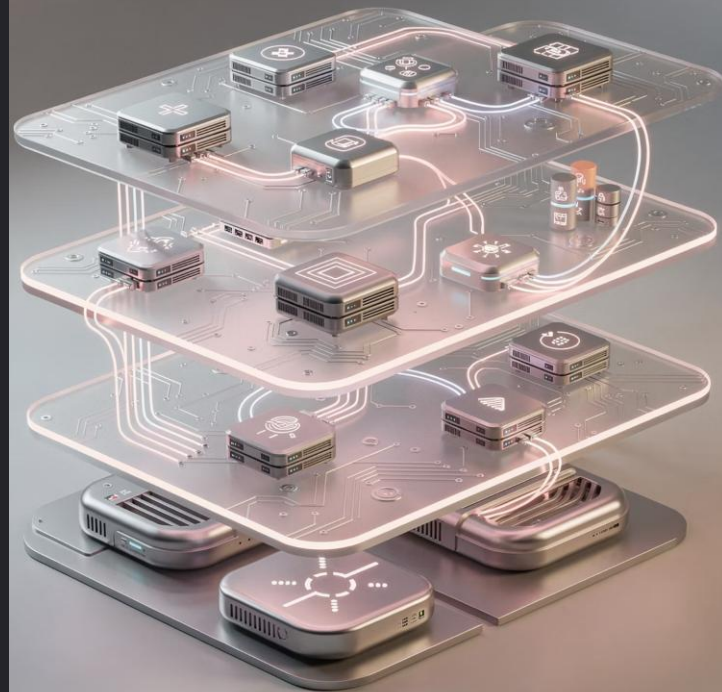
- Existing tenant preserved in full — zero migration
- All mailboxes remain in place — no data movement
- Teams, SharePoint, and OneDrive untouched
- Identity continuity — no user account disruption
- DNS remains stable throughout transition
- Commercial relationship changes; operations do not

Transition Model

The transition moves Inspironics from a dependency on Quantech as intermediary CSP to a model of direct governance — either through Microsoft Direct Billing or a next-generation CSP partner — while preserving all downstream operational elements without interruption.



Azure subscriptions, Microsoft 365 licensing, identity infrastructure, and all operational configurations remain constant throughout. Only the billing and delegated administration relationship is modified — preserving operational continuity with governance independence.



First 48-Hour Stabilization Checklist

The first 48 hours of transition are the highest-risk window. This command-center checklist defines the immediate actions required to lock down access, validate infrastructure integrity, and establish a secure operational baseline before any commercial changes are executed.



Identity & Admin

- Verify Global Admin access is direct and independent
- Create emergency break-glass admin account
- Validate MFA is enabled on all admin accounts
- Revoke unnecessary delegated admin permissions



Infrastructure

- Export full Azure VM and resource group inventory
- Snapshot all production VMs before any changes
- Validate Azure Backup is active and retention is current
- Document all public IPs and VPN configurations



Security

- Audit all admin passwords — rotate where required
- Review and export conditional access policies
- Confirm DNS ownership and registrar admin access
- Enable Defender alerts and audit logging



Governance

- Confirm billing account ownership in Azure portal
- Generate full subscription and resource inventory
- Audit Microsoft 365 license assignments and counts
- Document CSP contract terms and transition notice

Microsoft 365 Preservation Checklist

Each Microsoft 365 service layer must be individually validated and documented before, during, and after the commercial transition to ensure zero-gap continuity across email, collaboration, identity, and productivity workloads.

Exchange Online

- MX records verified
- SPF / DKIM / DMARC configured
- Shared mailboxes documented
- Transport rules exported
- Retention policies validated

Microsoft Teams

- Team ownership confirmed
- Channels and memberships documented
- Recordings and meeting data backed up
- Guest access policies reviewed
- Voice / PSTN settings exported

SharePoint Online

- All sites inventoried
- Permissions and access groups documented
- Storage quotas reviewed
- Document libraries backed up
- External sharing policies validated

Entra ID

- Global Admin roles confirmed
- MFA enforced on all privileged accounts
- Conditional access policies documented
- Break-glass accounts created and escrowed
- Service principals inventoried

Azure Infrastructure Continuity

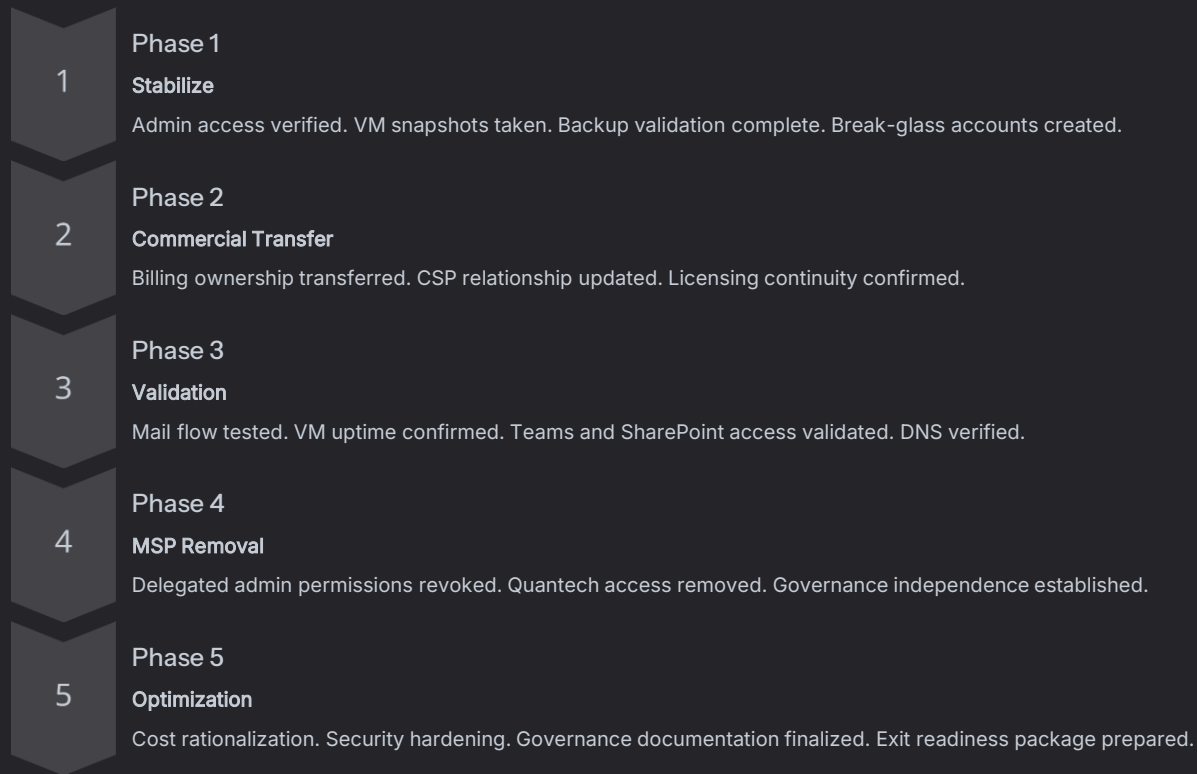
Each Azure virtual machine must be inventoried, snapshotted, and documented with full operational context prior to any commercial transition activity. **azvpnsrvr-1** is flagged as a critical dependency — any disruption to this VM directly impacts all site-to-site VPN connectivity.

VM Name	Size	OS	Networking	Backup Status	Criticality	Owner
azik-cus1	Standard D4s	Windows Server 2022	VNet-CUS / NSG-01	✔ Active	High	IT Operations
azik-cus2	Standard D4s	Windows Server 2022	VNet-CUS / NSG-01	✔ Active	High	IT Operations
aziksrvr-1	Standard D8s	Windows Server 2019	VNet-CUS / NSG-02	✔ Active	High	Applications
aziksrvr-2	Standard D4s	Windows Server 2019	VNet-CUS / NSG-02	⚠ Verify	Medium	Applications
azvpnsrvr-1	Standard B2s	Windows Server 2022	VPN Gateway / Static IP	✔ Active	● Critical	Network Ops

⚠ **VPN Infrastructure Alert:** azvpnsrvr-1 must not be modified, resized, or restarted without a full change management review. This VM is the sole gateway for all site-to-site VPN connections and carries the highest operational risk in the transition.

No-Interruption Transition Framework

The five-phase transition framework sequences every action to eliminate operational risk, ensure continuity at each stage, and deliver a clean, validated handover to direct governance — without a single minute of unplanned downtime.



Commercial Transition Models

Inspironics has three viable commercial models for post-transition cloud billing and support. Each carries distinct implications for governance maturity, operational burden, and strategic buyer confidence during due diligence.

OPTION A

Microsoft Direct Billing

- Full billing and licensing control directly with Microsoft
- Strongest governance independence signal to buyers
- Maximum transparency for due diligence
- No third-party intermediary dependencies

Best for: Exit readiness, investor confidence, governance maturity

OPTION B

New CSP Partner

- Managed services support available from day one
- Easier operations for lean IT teams
- Potential volume discounts via CSP relationship
- Some dependency risk reintroduced

Best for: Operational ease, ongoing managed support requirements

OPTION C RECOMMENDED

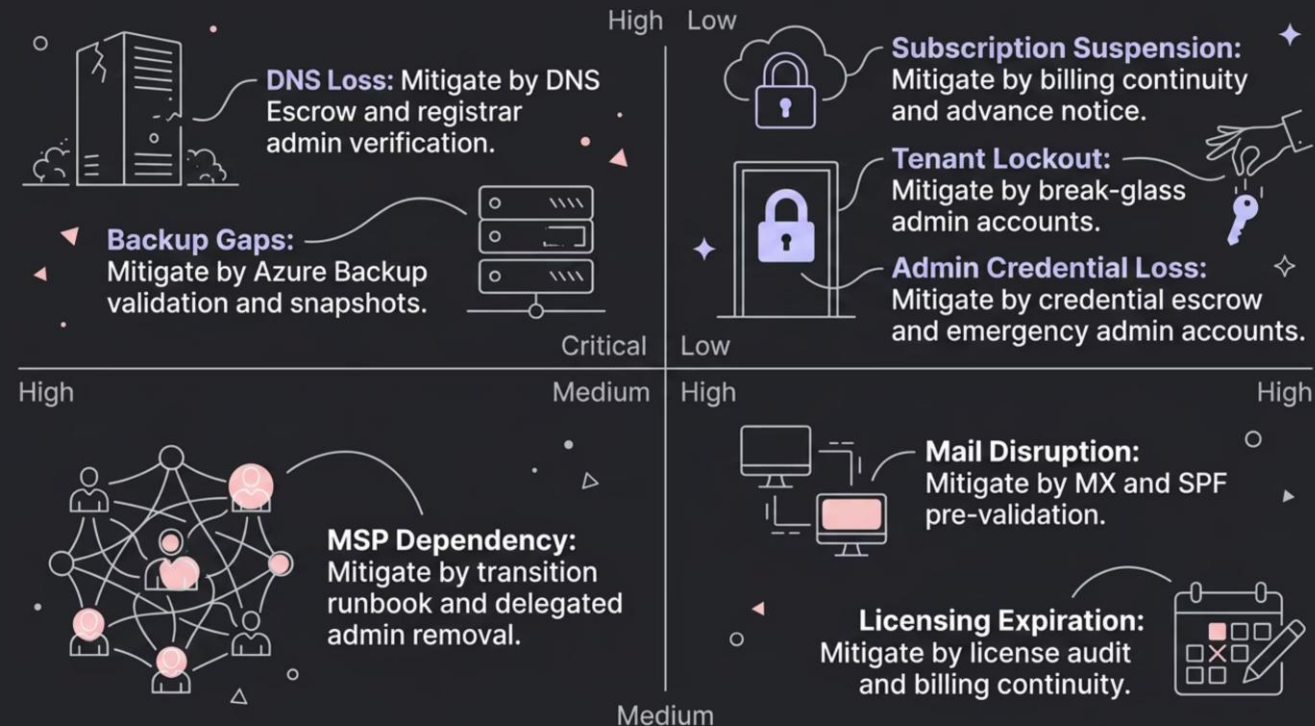
Hybrid Model

- Direct Microsoft billing for core subscriptions
- Tier-2 CSP partner for support and managed services
- Governance maturity with operational support balance
- Optimized for both buyer confidence and day-to-day ease

Best for: Inspironics — balances governance with operational resilience

Operational & Cybersecurity Risks

The following risk matrix identifies the eight highest-probability, highest-impact risks associated with an unmanaged or poorly executed CSP transition — alongside the specific mitigation controls Inspironics must deploy before transition activities begin.





Security & Governance Modernization

The CSP transition creates an ideal moment to simultaneously execute a security hardening initiative. Each of the following controls should be validated and enforced during the stabilization phase — establishing a security baseline that meets enterprise and buyer standards.

Identity & Access Hardening

- MFA enforced on all accounts — no exceptions
- Conditional access policies reviewed and tightened
- Least privilege access applied across all roles
- Break-glass admin accounts created and escrowed
- Service principal permissions audited

Infrastructure & Network Security

- Azure NSG rules reviewed — unnecessary ports closed
- RDP exposure reduced — Just-In-Time access enabled
- Microsoft Defender for Cloud policies activated
- Azure Monitor and audit logging enabled
- Backup verification and retention policies confirmed

Azure & M365 Commercial Optimization

Beyond governance independence, the transition unlocks a structured opportunity to right-size the Azure and Microsoft 365 commercial footprint — eliminating waste, improving cost efficiency, and demonstrating fiscal discipline to strategic buyers.



Azure Reserved Instances

Commit to 1- or 3-year Reserved Instance pricing on stable VM workloads — achieving up to 72% savings over pay-as-you-go rates for consistently running VMs like azik-cus1 and azik-cus2.



VM Right-Sizing

Analyze CPU and memory utilization metrics across all five VMs. Resize over-provisioned instances and implement auto-shutdown schedules for non-production workloads to reduce idle compute spend.



M365 License Rationalization

Audit active vs. assigned Microsoft 365 licenses. Remove licenses for departed users, downgrade over-provisioned seats, and evaluate Business Premium vs. E3/E5 fit for each user persona.



Storage & Data Optimization

Review Azure Storage tiers — migrate cold data to Archive or Cool tiers. Audit OneDrive and SharePoint storage quotas to eliminate orphaned data and reduce unnecessary storage costs.

Strategic Buyer & Broker Advantages

A clean, well-governed Microsoft and Azure environment is a measurable value driver in any M&A, strategic acquisition, or investor diligence process. Inspironics' transition directly enhances its attractiveness across every dimension that sophisticated buyers evaluate.

Buyer Confidence

No tenant chaos, no migration liability, no legacy MSP entanglements. Clean, transferable infrastructure.

ESG Compliance

Azure-native operations support ESG reporting on compute efficiency, data governance, and cloud sustainability.

Operational Resilience

Zero-downtime transition history demonstrates operational maturity and risk management capability.



Due Diligence Readiness

Full asset registers, governance matrices, backup reports, and runbooks ready for buyer IT review.

Cybersecurity Posture

MFA, Defender, conditional access, and audit logging demonstrate enterprise-grade security hygiene.

Governance Maturity

Direct billing, documented controls, and operational runbooks signal institutional readiness.

Recommended Operational Deliverables

Inspironics' Cloud Governance War Room produces a definitive set of deliverables — each designed to serve both operational continuity and strategic transaction readiness. These documents constitute the complete cloud governance package presented to buyers, investors, and due diligence teams.



Cloud Transition Binder

Master governance document covering all transition activities, decisions, and outcomes.



Azure Asset Register

Complete inventory of all VMs, resource groups, VNets, NSGs, and public IPs with ownership mapping.



M365 Governance Matrix

Full documentation of Exchange, Teams, SharePoint, OneDrive, and Entra ID configurations.



Security Audit Pack

MFA status, conditional access policies, Defender posture, and NSG rule export.



Backup Validation Report

Azure Backup status, VM snapshot history, retention schedules, and recovery test documentation.



Transition Runbook

Step-by-step operational playbook for executing the CSP transition with rollback procedures.



Admin Credential Escrow

Securely escrowed break-glass credentials, service account passwords, and DNS admin access.



Buyer IT Readiness Summary

Executive-ready package summarizing infrastructure health, governance status, and transition outcome for strategic buyers.

Critical Mistakes to Avoid

⊗ **Risk Alert:** The following errors represent the most common and highest-impact failure modes in Microsoft CSP transitions. Each has caused material operational disruption, data loss, or failed transactions in real enterprise environments. Treat each as a hard prohibition.

→ ✗ Do Not Create a New Microsoft 365 Tenant

Triggers full mailbox migration, identity rebuild, and service fragmentation. Irreversible without significant cost and downtime.

→ ✗ Do Not Migrate Mailboxes Unnecessarily

Mailbox migrations carry data loss risk, user disruption, and extended mail flow instability. Avoid unless absolutely required.

→ ✗ Do Not Release or Transfer Domains

Domain release severs all DNS-dependent services including email, Teams, and SharePoint. Requires complete re-verification with extended downtime.

→ ✗ Do Not Remove CSP Access Before Billing Transfer Completes

Premature removal of CSP administrative access can suspend active subscriptions and terminate license provisioning.

→ ✗ Do Not Change DNS Records Without a Tested Rollback Plan

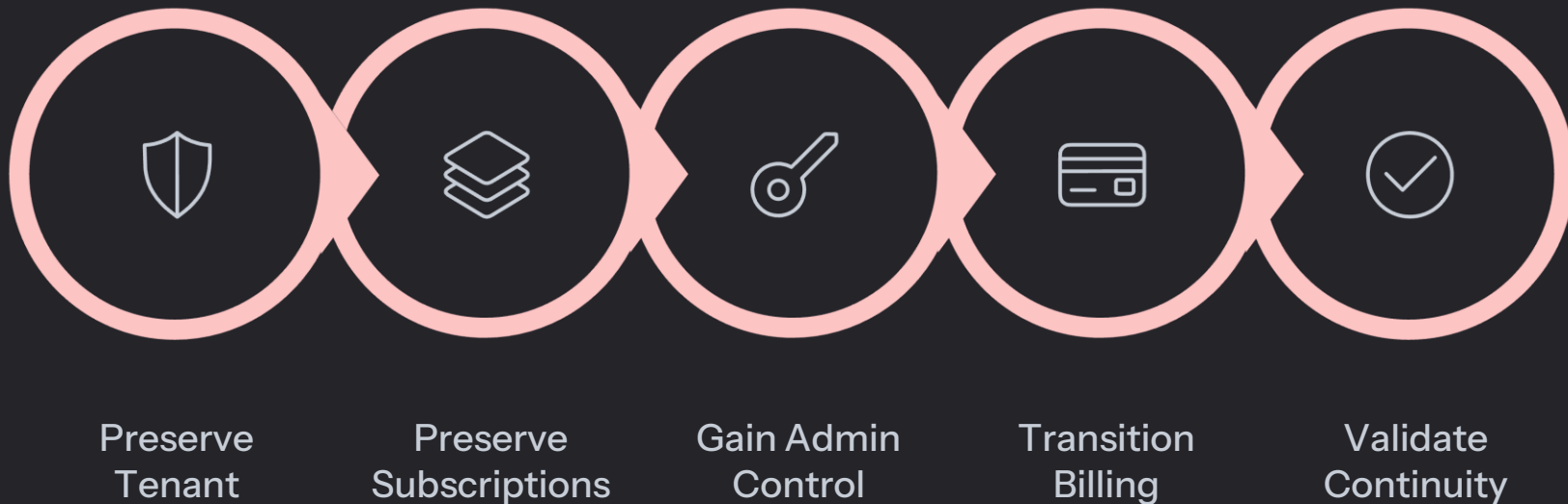
Blind DNS changes cause immediate mail flow failure, Teams outages, and SharePoint inaccessibility. Every DNS change requires staged validation and a documented rollback.

→ ✗ Do Not Rebuild VMs Unless Required by Security Incident

Unnecessary VM rebuilds risk data loss, IP address changes, and downstream dependency failures. Preserve and migrate, never rebuild unnecessarily.

Recommended Transition Strategy

Inspironics' recommended path threads governance independence through every phase of transition — ensuring that operational continuity is never sacrificed in pursuit of administrative control. Each step is sequenced to eliminate risk before introducing change.



"Governance Independence Without Operational Disruption" — the defining principle of Inspironics' cloud transition strategy.

Cloud Governance as Strategic Infrastructure

"Modern cloud governance is not merely IT operations — it is enterprise continuity, cybersecurity resilience, and strategic buyer readiness."

Inspironics is positioning its Microsoft and Azure infrastructure as a strategic asset — not just a cost center. By executing this zero-downtime transition with precision, Inspironics demonstrates the operational maturity, security discipline, and governance depth that sophisticated investors and strategic buyers demand.

Operational Resilience

Continuous uptime across Azure VMs, Microsoft 365, and all dependent business processes — with documented runbooks and tested recovery procedures.

Governance Maturity

Direct billing, break-glass access, audit logging, and a complete documentation package demonstrate institutional-grade cloud governance.

Scalable AIoT Execution

A clean, independently governed Azure environment provides the secure, scalable foundation required for Inspironics' AIoT product and service delivery roadmap.

Strategic Transaction Readiness

A fully documented, secure, and independent cloud environment accelerates M&A diligence timelines and maximizes enterprise value in any strategic transaction.

Next Steps & Action Owners

The following immediate actions define the critical path for Inspironics' cloud transition. Each item has a clear owner, a defined timeline, and a measurable completion criteria — ensuring accountability and momentum from day one.



Verify Global Admin Independence — Week 1

Confirm direct Global Admin access, create break-glass accounts, validate MFA on all privileged accounts. Owner: IT Operations Lead.



VM Snapshot & Backup Validation — Week 1

Snapshot all five Azure VMs, validate Azure Backup retention policies, export full resource inventory. Owner: Cloud Infrastructure Team.



Initiate Commercial Transition — Week 2

Engage Microsoft or new CSP partner, initiate billing transfer, confirm licensing continuity throughout commercial transition. Owner: CFO + IT Lead.



Post-Transition Validation Sprint — Week 3

Execute full M365 and Azure validation checklist. Test mail flow, VPN connectivity, Teams, SharePoint, and VM access. Owner: IT Operations.



Deliver Buyer IT Readiness Package — Week 4

Compile and deliver the complete Cloud Governance War Room deliverables package for board, investor, and buyer review. Owner: CIO + Legal.